The money supply

The money supply is the total amount of money in the economy at a given time. The government monitors this supply, because of its impact on economic activity and on price levels. It may decide to change financial policy to influence the money supply—for example, by raising or lowering the amount that banks must hold in reserve as actual cash. If the money supply is too low, such as during a recession, or a depression, the government may take steps to try and increase it.

How the money supply is measured

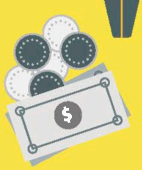
Types of money in an economy are classified in “M” groups. The most liquid, or spendable, form of money is called “narrow” money, and include classes M0 and M1. The definition of “broad money” includes other less liquid, less convertible forms. These are classed as M2, M3, and also M4. How these classes are defined, and what they include or exclude, varies from country to country.

M3 M2 + Longer-term deposits and over 24-hour-maturity money market funds

M2 M1 + Short-term time deposits in banks, 24-hour money-market funds

M1 M0 + money equivalents readily converted into cash

M0 Physical currency in circulation



Bills and coins in general circulation
Physical currency used as tender.

Physical assets in banks
Hard currency held in bank reserves.

Traveler’s checks
Representative money that can be readily exchanged for cash.

Instant access savings
Deposits in bank accounts that allow ready access.

Narrow money

M0 and M1 make up the narrow money group. This is money in a form that can be readily used as a medium of exchange, and includes bills, coins, traveler’s checks, and some types of bank accounts.

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> “He who controls the money supply of a nation controls the nation”
>
> James Garfield